



not experience this pain when he used his credit card. But when he paid in cash, he understood the pain of parting with the money and his attitude changed. In our minds, we distinguish between cash accounting and credit card accounting. Actually both are the same, but we view them differently because of our mental accounting bias. Hence, we tend to be more extravagant when we use credit cards.

In Episode three, Bomsii was stingy with his own money. But when he won, he became very extravagant. To him his winnings were not his own money but that of the bookies. Hence the celebration. Mentally, he accounted separately for his own money and for his winnings. Let's see what you would do in the following two situations.

### ***Situation A***

You have paid Rs. 500 for a movie ticket. When you reach the theatre you find that you have lost the ticket. Would you, buy a new ticket? or would you prefer to go back?

### ***Situation B***

You go to the theatre to watch a movie. When you reach the ticket window you find that you have lost Rs. 500 out of the Rs. 2000 you were carrying. Would you still buy the ticket?

Most people would say no to the first situation and yes to the second. However, both entail a loss of Rs. 500 and the cost of Rs. 1000 to watch the movie. So why take different decisions? Because most people segregate the loss of the ticket and the loss of cash into independent categories or accounts, and therefore react contrarily to the two situations.

Mental accounting is directly correlated to our emotional state. To understand it better, let's consider different types of mental accounts and the human behaviour associated with them.

## **Earned Income V/s Gift Income**

When you receive your salary cheque you are very careful how you spend it. For you that money is sacrosanct, the fruit of your